

Tamilnadu 2018

Grade 12

PART - III

Economics

Time allowed: 3 Hours

Maximum Marks: 200

Instructions:

- (1) Check the question paper for fairness of printing. If there is any lack of fairness, inform the Hall Supervisor immediately.
- (2) Use **Blue** or **Black** ink to write and underline and pencil to draw diagrams.

PART – A

Note: Answer all the questions.

[14 x 1 = 14]

I. Choose the most suitable answer from the given alternatives and write the option code and the corresponding answer.

1. Economics is the study of:

- (a) Scarcity of means and limited ends
- (b) Human wants and their satisfaction
- (c) Relationship between wealth and savings
- (d) Management of the state

2. The basic force that drives the capitalist economy is:

- (a) Maximisation of output
- (b) Planning
- (c) Profit-motive
- (d) Innovation

3. Consumer surplus is:

- (a) Demand = Supply (b) Potential price - Actual price
- (c) Demand > Supply (d) $MV_n = TV_n - TV_{n-1}$

4. Law of Demand establishes:

- (a) Inverse relationship between price and quantity
- (b) Positive relationship between price and quantity
- (c) Both
- (d) Price only

5. Demand for a commodity depends on:

- (a) Price of related goods (b) Income
- (c) Price of that commodity (d) All the above

6. At the equilibrium price level:

- (a) Demand = Supply
- (b) Demand > Supply
- (c) Demand does not relate to supply

(d) Demand < Supply

7. Reward paid to land is:

- (a) Wages (b) Interest
- (c) Rent (d) Profit

8. Economic cost includes explicit cost and:

- (a) fixed cost (b) implicit cost
- (c) variable cost (d) social cost

9. Under perfect competition, the demand curve of the firm is:

- (a) Downward sloping (b) Upward sloping
- (c) Vertical (d) Horizontal

10. The demand for cement is:

- (a) Derived demand (b) Effective demand
- (c) Elastic demand (d) Direct demand

11. Classical theory of employment is based on:

- (a) Deficiency of aggregate demand
- (b) Keynesian law of consumption
- (c) The principle of effective demand
- (d) Say's law of market

12. The author of the book “General Theory of Employment, Interest and Money” is:

- (a) Adam Smith (b) J.M. Keynes
(c) David Ricardo (d) Alfred Marshall

13. Reducing public expenditure on capital projects is to control:

- (a) stable prices (b) deflation
(c) unemployment (d) inflation

14. The “ability to pay” principle of taxation is:

- (a) Canon of convenience (b) Canon of certainty
(c) Canon of economy (d) Canon of equity

II. Fill in the blanks with suitable answers:

[12 x 1 = 12]

15. An example of cosmopolitan wealth is _____.

16. The public and private sectors exist in _____.

17. Marshallian utility approach is _____.

18. The demand curve for luxury goods Slopes _____.

19. Modern Economists divide time periods into _____ and _____.

20. The functional relationship between input and output is known as _____.

21. Money cost is also called _____.

22. Firms realize the importance of mutual co-operation under _____.

23. Transfer earnings refer to _____ cost.
24. The magnified effect of initial investment on income is called _____.
25. Galloping inflation is also known as _____.
26. _____ are the fundamental principles of taxation.

III. Match the following:

[12 x 1 = 12]

- | | | |
|------------------------------|---|-----------------------------------|
| 27. First Nobel Prize | - | Purchasing Power of Money |
| 28. Private property | - | Annual Stock Clearance |
| 29. Luxuries | - | TR-TC |
| 30. Tea and Coffee | - | Liquidity preference |
| 31. Price discount | - | Laissez faire economy |
| 32. Bundle of risks | - | Neo - classical theory |
| 33. Profit | - | Substitutes |
| 34. Monopolistic competition | - | Timbergen and Frisch |
| 35. Loanable funds theory | - | Diamond jewels |
| 36. Keynes | - | Revenue and expenditure are equal |
| 37. Value of Money | - | Hawley |
| 38. Balanced budget | - | E.H. Chamberlin |

IV. Answer each of the following questions in a word or two.

[12 x 1 = 12]

39. What is the method that Ricardo made use of?
40. What is the result of over-production?
41. What is the other name for budget line?
42. What is the basic assumption of the law of demand?
43. Is supply fixed in the market period?
44. Who is the changing agent of the society?
45. What is average cost?
46. How does the government control monopoly?
47. What is the name of Schumpeter's theory of profits?
48. Name the point of intersection of Aggregate Demand and Aggregate Supply.
49. When is dear money policy followed?
50. What is public debt?

PART – B

Note: (i) Answer any ten questions.

[10 x 3 = 30]

(ii) Answer to each question should not exceed four lines.

51. Distinguish between value-in-use and value-in-exchange.
52. What are the basic issues of an economic system?
53. What is capitalism?
54. What are the causes for wants?
55. Write a note on Giffen Paradox.

56. What are the determinants of shifts in demand curve?
57. Differentiate the short period and the long period.
58. Name the types of utility.
59. Define labour.
60. What is real cost?
61. Mention the relationship between MC and AC.
62. What are the three motives of liquidity preference theory?
63. Give the factors on which the aggregate demand depends.
64. Define Money.
65. What is zero based budget?

PART – C

VI. Note: (i) Answer any six of the following questions.

(ii) Answer for each question should be about a page.

[6 x 10 = 60]

66. What are the merits of socialist economy?
67. How is the equilibrium price determined in the market period?
68. Distinguish between laws of returns and returns to scale.
69. Explain the relationship between AR and MR curve.
70. Write a note on long run average cost curve.
71. What is meant by “Product differentiation”?
72. Draw the flow chart depicting the essence of Keynesian theory.

73. Describe the consumption function with a diagram.
74. Explain the important sources of tax and non-tax revenue of the state government.
75. What are the limitations of fiscal policy?

PART - D

- Note: (i) Answer any three of the following questions.
(ii) Answer for each question should be about three pages.

[3 x 20 = 60]

76. Examine Lionel Robbins definition of economics.
77. Elucidate the Indifference Curve Approach.
78. Explain in detail the methods of measuring price elasticity of demand.
79. Explain the advantages and disadvantages of monopoly.
80. Describe Loanable funds theory of interest.
81. Discuss the effects and remedies for inflation.